

QUARTERLY FINANCIAL REPORT

Apex Manufacturing Holdings, Inc.

Fourth Quarter & Full Year 2024

Period Ending December 31, 2024

EXECUTIVE SUMMARY

Apex Manufacturing Holdings delivered strong fourth quarter results, exceeding analyst expectations across all key metrics. Revenue grew 12.3% year-over-year to \$2.87 billion, driven by robust demand in our Industrial Automation and Clean Energy segments. Operating margin expanded 180 basis points to 18.4%, reflecting operational efficiency improvements and favorable product mix.

Full-year 2024 revenue reached \$10.92 billion, representing 9.7% growth over 2023. Net income increased 15.2% to \$1.34 billion, or \$8.42 per diluted share, compared to \$7.31 per diluted share in the prior year.

Q4 2024 FINANCIAL HIGHLIGHTS

Revenue: \$2.87B (vs. \$2.56B Q4 2023, +12.3% YoY)
Gross Profit: \$1.12B (Gross Margin: 39.0%, up from 37.6%)
Operating Income: \$528M (Operating Margin: 18.4%, up from 16.6%)
Net Income: \$387M (Net Margin: 13.5%)
Earnings Per Share: \$2.43 diluted (vs. \$2.01 Q4 2023)
Free Cash Flow: \$412M (14.4% of revenue)
Backlog: \$4.2B (up 18% from prior year)
Employees: 34,200 globally

SEGMENT PERFORMANCE

Industrial Automation (42% of revenue):

- Revenue: \$1.21B (+15.7% YoY)
- Operating margin: 22.1%
- Driven by strong demand for robotics and smart factory solutions
- New contract wins with 3 major automotive manufacturers
- Backlog increased 24% to \$1.8B

Clean Energy Solutions (28% of revenue):

- Revenue: \$803M (+18.2% YoY)
- Operating margin: 16.8%
- Solar inverter shipments up 32%
- Battery storage systems revenue doubled YoY
- Secured \$340M Department of Energy contract

Precision Components (20% of revenue):

- Revenue: \$574M (+4.1% YoY)
- Operating margin: 15.2%
- Aerospace sector recovery continues
- Medical device components growing 12% YoY

Legacy Systems & Services (10% of revenue):

- Revenue: \$287M (-3.2% YoY)
- Operating margin: 19.5%
- Planned decline as customers migrate to newer platforms

- High-margin service contracts provide stable cash flow

BALANCE SHEET SUMMARY (as of Dec 31, 2024)

Total Assets: \$14.8B

Cash & Equivalents: \$1.92B

Total Debt: \$3.1B (Net Debt/EBITDA: 0.8x)

Shareholders' Equity: \$8.4B

Current Ratio: 2.1x

Return on Equity: 16.0%

Return on Invested Capital: 14.2%

2025 OUTLOOK

Management provides the following guidance for fiscal year 2025:

- Revenue: \$11.8B - \$12.2B (8-12% growth)
- Operating Margin: 18.5% - 19.5%
- EPS: \$9.00 - \$9.50 (7-13% growth)
- Capital Expenditure: \$650M - \$700M
- Share Repurchase Program: \$500M authorized

Key growth drivers include expansion of AI-enabled automation products, scaling of energy storage solutions, and geographic expansion in Southeast Asia and India. The company plans to open a new manufacturing facility in Vietnam (Q3 2025) and expand its R&D center in Munich, Germany.